The Morning Brief

JUNE 2, 2026

Talks Suspended

Iran has suspended ceasefire negotiations after weekend US and Israeli strikes, lifting WTI nearly 5% even as the Nasdaq notches fresh records on MRVL and NVDA leadership and CRDO fades 4% on a Q1 guide that failed to clear elevated expectations.

S&P 500	NASDAQ	WTI CRUDE (USO)	JOLTS TODAY	FEAR & GREED
7,600 · ↑0.27%	27,087 · ↑0.60%	$135.50 · ↑4.97%	Est 6.82M vs 6.87M Prior	23 · Extreme Fear

SECTION 01

Markets

RECORDS EXTEND ON AI-CAPEX LEADERSHIP WHILE BREADTH NARROWS FURTHER — THE NASDAQ ADDS 0.60% ON MRVL AND NVDA, THE RUSSELL 2000 LAGS AGAIN, AND THE VIX PROXY BOUNCES 4% AS OIL SPIKES ON IRAN

Per the data drop, Monday closed with the S&P 500 proxy ↑0.27% to $758.54, the Nasdaq proxy ↑0.60% to $742.74, and the Dow proxy ↑0.13% to $511.44 — per Yahoo Finance reporting, all three logged fresh intraday highs and closing records. The Russell 2000 proxy gave back ↓0.50% to $288.98 and the UVXY VIX proxy popped ↑4.10% to $29.95, consistent with the narrative split between mega-cap AI leadership and the rest of the tape. Sector breadth narrowed further from Friday: only Tech (XLK ↑2.48%) and Energy (XLE ↑1.79%) closed green, with Utilities (XLU ↓2.97%), Discretionary (XLY ↓2.22%), Real Estate (XLRE ↓1.64%), and Healthcare (XLV ↓1.09%) leading the laggards. Per Bloomberg coverage of Nvidia's Computex keynote, the headline driver was Jensen Huang's unveiling of the RTX Spark/N1X Arm-based PC superchip alongside Microsoft, Dell, HP, ASUS, Lenovo, and MSI — NVDA ↑6.26% to $224.36, MRVL ↑7.04% to $219.43 (after Huang per Yahoo coverage referred to Marvell as the "next trillion-dollar company"), TSM ↑4.11% to $435.63, and HUT ↑6.05%. The collateral damage was QCOM ↓8.78% to $228.99 on direct PC-chip competition concerns per Yahoo and ChartMill coverage.

S&P 500 (MON)	$758.54 · ↑0.27% · Record close per Yahoo
NASDAQ (MON)	$742.74 · ↑0.60% · AI-capex leadership
VIX PROXY (UVXY)	$29.95 · ↑4.10% on geopolitical bid
TOP IOWN MON	MRVL ↑7.04% · FTNT ↑6.65% · NVDA ↑6.26%
BOTTOM IOWN MON	QCOM ↓8.78% · CTRA ↓8.62% · CRDO ↓4.21%
ISM MFG PMI (MAY)	54.0 vs 53.0 est · Highest since May 2022 per ISM
FED HOLD ODDS (JUNE FOMC)	~98% no-change per CME FedWatch · Blackout starts June 6
CARSON'S ACTIVE LEVEL	SPY $645.80 support · Untouched (Mon low $754.69)

ISM MANUFACTURING PRINTED 54.0 IN MAY — ITS HIGHEST READING SINCE MAY 2022 — WITH 42% OF PANELISTS CITING THE IRAN WAR AND 57% CITING PRICING VOLATILITY, CEMENTING THE "HOT GROWTH, HOT INFLATION" FRAME INTO THE JUNE FOMC BLACKOUT

Per the ISM release Monday, the May Manufacturing PMI registered 54.0, 1.3 percentage points higher than April's 52.7 and the strongest reading since May 2022; the New Orders sub-index expanded for the fifth consecutive month at 56.8. ISM chair Susan Spence noted the print corresponds to a 2.2% real GDP growth rate, and that the Iran war was referenced in 42% of panelist comments while 57% cited pricing volatility — an unusually direct linkage between the geopolitical shock and goods-side input-cost behavior. Per CME FedWatch coverage, prediction markets now price approximately 98% odds of a Fed hold at the June 16–17 meeting against the 3.50–3.75% target range, with the FOMC communication blackout beginning June 6. The committee's dividend backbone (ADP ↑5.36% Monday, SYK, ABT, GPC, FAST) and the AI infrastructure sleeve (LRCX, TSM, MRVL, NVDA, VST, NEE) both remain constructively positioned against this regime — the former offering cash-generative compounding through plateaus, the latter capturing the secular capex curve confirmed again Monday by Huang's keynote.

CRDO BEAT Q4 ESTIMATES CLEANLY BUT Q1 GUIDANCE OF $465–$475M FAILED TO EXCEED CONSENSUS — SHARES FELL APPROXIMATELY 12% INITIALLY IN AFTER-HOURS PER YAHOO, SETTLING AT $226.10 (↓4.21%) INTO TUESDAY'S OPEN

Per the company's release and SeekingAlpha coverage, CRDO reported fiscal Q4 revenue of $437M (vs $433M consensus, above the $425–$435M prior guide) and non-GAAP EPS of $1.16 (vs $1.05 consensus). Fiscal 2026 revenue exceeded $1.3B, with optical-DSP, SIFO PIX, and ZeroFlap product lines expected to contribute more than $600M to FY27 per company commentary. The post-print reaction was driven not by the Q4 print but by the Q1 FY27 guide of $465–$475M (consensus $470.4M per Yahoo), which sat in line rather than ahead of elevated expectations and triggered an after-hours sell-off reported at approximately −12% per Investing.com and Stocktwits before settling at $226.10 (↓4.21%) per the data drop. Per Yahoo coverage, Roth Capital raised its price target to $300 from $200 and maintained its Buy rating. The read for IOWN: the AI supplier-side capex picture remains structurally intact — MRVL ↑7.04%, TSM ↑4.11%, NVDA ↑6.26% all confirmed the demand thesis Monday — but valuation sensitivity to forward growth inflection at the multiple is now demonstrated, and the same dynamic warrants attention into the next round of supplier-side prints.

A tape that prints fresh records on AI leadership while VIX bounces 4%, oil spikes 5%, and the breadth tally is just two of eleven sectors green is a tape where the index is doing one thing and the participation is doing another — the kind of split that historically precedes either a broadening of leadership or a sharp mean reversion. **Research Reveals Opportunities.**

SECTION 02

Geopolitics

IRAN HAS SUSPENDED THE CEASEFIRE TALKS PER FOREIGN MINISTER ARAGHCHI AFTER ISRAELI STRIKES ON LEBANON AND A US STRIKE ON SIRIK ISLAND IN HORMOZGAN — THE IRGC LAUNCHED A RETALIATORY STRIKE ON A BASE USED BY US FORCES AND KUWAITI AIR DEFENSES INTERCEPTED IRANIAN MISSILES PER AL JAZEERA

Per Washington Post, Al Jazeera, CNN, and Reuters coverage Monday, the Iran-US 60-day ceasefire framework has materially deteriorated since Friday's brief: Iran's Foreign Minister Araghchi announced that Tehran has suspended communications with Washington in response to Israeli strikes in Lebanon and the US strike on a communication tower at Sirik Island in Hormozgan province. Per Al Jazeera, the IRGC subsequently launched a retaliatory strike on a base used by US forces; Kuwait's Ministry of Foreign Affairs confirmed that air defenses intercepted Iranian missiles and drones over Kuwaiti territory. Per CNN reporting, President Trump characterized the rupture as a "little glitch" and stated that talks remain ongoing. The oil-market response was direct: WTI Oil (USO) closed Monday ↑4.97% to $135.50 and Brent (BNO) ↑3.76% to $52.49 per the data drop, reversing the framework-driven compression of the prior session. For the IOWN energy sleeve (CVX ↑1.85% Monday, VLO ↑3.15%, OKE ↑1.20%, CNX −0.68%, CTRA −8.62% on company-specific weakness), the read advances from the prior brief — the framework that was "pending" on Friday is now formally suspended on Iran's side, and the war-risk premium that compressed through May is reasserting on a constrained physical base.

TRUMP ANNOUNCED VIA TRUTH SOCIAL THAT NETANYAHU AGREED TO HALT THE LEBANON INVASION, BUT NETANYAHU AND DEFENSE MINISTER KATZ SUBSEQUENTLY STATED THE IDF WOULD CONTINUE STRIKING SOUTHERN LEBANON — THE CONFLICTING SIGNALS RUN AGAINST A CLEAN DE-ESCALATION PATH

Per Washington Post, Times of Israel, and Al Jazeera Monday, Trump posted on Truth Social that Prime Minister Netanyahu had agreed in a phone call to halt troops headed toward Beirut and that Hezbollah had separately agreed to halt hostilities. Per Times of Israel and Jerusalem Post reporting, Netanyahu publicly stated that Israeli strikes on southern Lebanon would continue as planned, and Defense Minister Katz denied that any ceasefire was in effect. The Israel-Hezbollah confrontation in Lebanon — which the prior brief flagged as a secondary catalyst — has therefore not de-escalated and is now functionally linked to the Iran track through Araghchi's statement that the Iran-US ceasefire is "a ceasefire on all fronts, including Lebanon." For IOWN defense exposure (LMT ↓2.63% Monday to $516.50, GD ↓2.20% to $339.20), the pullback consolidates recent gains but the structural bull case remains unchanged: backlog visibility through the South Korea $4.2B helicopter procurement, the Shangri-La Dialogue framing on Indo-Pacific burden-sharing, and the LMT NGI digital missile-factory disclosures per Yahoo coverage all reinforce the orthogonal-hedge role across either Iran resolution path.

IRAN POSTURE	Talks suspended per FM Araghchi over Lebanon and US strikes
IRGC ACTION	Retaliatory strike on US-used base per Al Jazeera
KUWAIT	Air defenses intercepted Iranian missiles per MFA
TRUMP POSITION	Characterized rupture as "little glitch" per CNN
LEBANON TRACK	Trump-claimed halt contested by Netanyahu and Katz
WTI (USO MON)	$135.50 · ↑4.97% on framework rupture
BRENT (BNO MON)	$52.49 · ↑3.76% · War-premium reasserting

SECTION 03

On Our Radar

1. JOLTS Job Openings for April prints at 9:00 AM CT — consensus 6.82 million against a 6.866 million prior per the data drop. A consensus or higher print would confirm the labor market stabilization narrative that Governor Waller flagged in his May 22 remarks per the Federal Reserve speech archive, while a meaningful undershoot would re-introduce the "crack in the labor market" tail ahead of Friday's May Employment Situation. The quits-rate component (3.171 prior) remains the leading indicator on wage pressure and worker confidence. Minneapolis Fed President Kashkari and Cleveland Fed President Hammack both speak today per the data drop calendar, with the FOMC blackout period beginning June 6 putting today's and tomorrow's communication inside the final pre-meeting window. *Avoid Erosion.*

2. CRDO Q1 FY27 guidance of $465–$475M sits in line with the $470.4M consensus per Yahoo — Roth Capital raised its price target to $300 and maintained Buy per Stocktwits, while the after-hours print signaled the valuation sensitivity at the multiple. The Q4 itself was a clean beat (revenue $437M, EPS $1.16, ZeroFlap optics traction confirmed) but the absence of upward inflection in the forward guide, against a stock that had run materially into the print per Stocktwits, produced the asymmetric reaction. The IOWN-relevant read — the supplier-side AI capex picture remains structurally intact and was confirmed independently Monday by MRVL ↑7.04% on Huang's "next trillion-dollar company" reference per Yahoo, TSM ↑4.11%, NVDA ↑6.26%, and HUT ↑6.05%. The committee's connectivity exposure (MRVL, TEL, CRDO, NXPI) sits constructively against the demand thesis while warranting closer attention to forward-guide cadence at elevated multiples. *Think Like an Owner.*

3. The Iran framework has formally degraded from "pending Trump signoff" to "suspended by Iran" — oil reasserted nearly 5% on USO Monday and the IOWN energy sleeve carries an asymmetric set of outcomes from a meaningfully different baseline than 48 hours ago. The path that Friday's brief framed as "binary into the open" has resolved toward the war-premium tail rather than the framework tail. CVX ↑1.85%, VLO ↑3.15%, and OKE ↑1.20% Monday captured the directional move; CNX (↓0.68%) and CTRA (↓8.62%) lagged the sleeve. Per Reuters Monday, Iran is reportedly weighing "full closure" of the Strait of Hormuz and the Bab el-Mandeb Strait, though no closure action has been confirmed as of this writing. Defense (LMT ↓2.63%, GD ↓2.20%) consolidated Friday's framework-driven decline but the structural backlog story remains intact through either resolution path. **The physical world matters.**

4. Bitcoin sat at approximately $71,400 Monday morning per Yahoo coverage after opening June below $72,000 — IBIT closed Monday ↓2.74% to $40.49 and ETHA ↓0.59% to $15.11 per the data drop, extending the May ETF outflow trend into a fresh month. Per Cryptotimes and BeInCrypto coverage, Bitcoin sealed its third red monthly candle of 2026 in May with a roughly 4.4% loss, and institutional outflow tone has continued into June. The Fear & Greed reading at 23 (Extreme Fear) per the data drop — down from 29 in Friday's brief — reinforces the divergence between price (still within recent ranges) and sentiment (deteriorating). HUT ↑6.05%, MARA ↑3.27%, and HOOD ↓3.79% reflected mixed crypto-adjacent equity flow; the committee's digital asset exposure (IBIT, ETHA) sits against a slower accumulation cadence rather than against a thesis-breaking move. *Simplicity Over Complexity.*

5. The Nasdaq closed at fresh records per Yahoo Finance while the Russell 2000 gave back ↓0.50% Monday — the participation gap between mega-cap AI leadership and the rest of the tape continues to widen. Per the data drop, Monday's sector breadth was the narrowest of the post-May rally: only Tech (XLK ↑2.48%) and Energy (XLE ↑1.79%) closed green, with Utilities (XLU ↓2.97%) and Discretionary (XLY ↓2.22%) leading the laggards on a session that simultaneously delivered fresh index records. Historically, when index records coincide with two-of-eleven sector breadth and a Russell underperformance, the resolution tends to be either a rotational broadening or a sharp leadership correction. The committee's dual sleeve construction — cash-generative dividend names alongside AI infrastructure secular growth — is positioned to capture either path.

6. Carson's active SPY $645.80 support remains untouched as the index extends to fresh records. Monday's SPY intraday low printed $754.69 per the data drop — identical to Friday's low and still materially above the level. The Fear & Greed deterioration to 23 (Extreme Fear) from 29 Friday, against an index that closed at fresh records with the VIX proxy ↑4.10%, frames a continued price-vs-sentiment divergence at the kind of magnitude where geopolitical resolution tends to drive sharp moves in either direction. The level remains Carson's framework for any sustained downside scenario rather than an actionable near-term marker.